

E-Commerce Operations Audit Case Study

PRIVATE-LABEL HEALTH & BEAUTY BRAND — SHOPIFY

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ROLE: OPERATIONS & FINANCE ANALYST

ENGAGEMENT TYPE: INTERNAL AUDIT & SYSTEMS BUILD

DURATION: 6-MONTH LAUNCH & OPERATIONAL PHASE

Client Overview

A private-label health and beauty brand (Rivia Hair Care) operating on Shopify. The store was in its initial launch phase, operating with a solo founder managing product sourcing, custom branding, and customer fulfillment. Like many early-stage e-commerce ventures, the business had no formal financial tracking or automated operational systems in place, leading to data silos.

Problems Identified

- **Margin Blind Spots:** No system existed to track true product margin per SKU after accounting for COGS, shipping, and Shopify transaction fees.
- **Manual Bottlenecks:** Order processing and financial reconciliation were entirely manual, consuming significant weekly hours.
- **Gross vs. Net Confusion:** Revenue was tracked, but actual net profit was unclear until the end of the month, delaying critical business decisions.
- **Lack of Reporting:** No standardized monthly financial close process or automated P&L reporting.

Actions Taken

- **Financial Pipeline Integration:** Designed and implemented a Python-based automated data pipeline to ingest, clean, and categorize raw Shopify and payment gateway CSV exports.
- **Margin Tracking Architecture:** Built a comprehensive cost-tracking framework to calculate true net margin per SKU, factoring in hidden e-commerce costs.
- **Workflow Automation:** Established a streamlined order fulfillment workflow to reduce manual back-office tasks.
- **DACH Market Preparation:** Mapped the financial reporting structure to align with SKR03 accounting standards to prepare the store's backend for European market compliance and rapid tax reconciliation.

Results & Impact

Metric	Before	After
Monthly financial close time	8–10 hours (manual)	Under 30 minutes (automated)
Per-SKU margin visibility	None	Full visibility per product
Bank reconciliation	Manual, error-prone	Automated with discrepancy flagging
DACH market readiness	Zero infrastructure	SKR03-compliant bookkeeping system live

Key Findings from the Audit:

- Identified that gateway fees and ad spend combined were consuming a larger margin share than initially estimated
- Established that scaling decisions should be based on net margin per SKU, not gross sales volume
- Reduced financial reporting time by approximately **85%**
- Eliminated manual reconciliation errors entirely

Core Skills Applied

Category	Skills
Technical	Python (pandas, openpyxl), Excel, Data Pipeline Design
Financial	P&L Construction, COGS Analysis, Margin Calculation, Financial Reconciliation
Operational	Order Operations, Shopify Operations & Backend Management
Analytical	SKU-Level Profitability Analysis, Break-Even Analysis, Data-Driven Decisions

THIS CASE STUDY REFLECTS REAL OPERATIONAL EXPERIENCE BUILDING AND MANAGING A PRIVATE-LABEL E-COMMERCE BRAND. ALL FINANCIAL PROCESSES AND TOOLS DESCRIBED WERE DESIGNED AND IMPLEMENTED BY **SYED HAMZA SHAH**.

PORTFOLIO: [GITHUB.COM/HAMZASHAH-GREAT](https://github.com/HamzaShah-Great)

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